

29 October 2020

Richard McLean
2 McCubbin St
Footscray Vic 3011

Dear Dr McLean

RE: AUSTRALIAN FINANCIAL COMPLAINTS AUTHORITY (AFCA) CASE NUMBER 758027 – RICHARD MCLEAN

I am writing in relation to your dispute lodged with the Australian Financial Complaints Authority ('AFCA') on 29 September 2020. Please allow me to respond on behalf of the Bendigo and Adelaide Bank Ltd ('the Bank').

The Bank's understanding of your dispute

It is the Bank's understanding that you are making a claim for a number of transactions paid to an online casino that you say is fraudulent.

You have advised that you made payments to into your online gambling account, but these payments were never credited to the account.

Additionally, you state that the Bank has been able to reverse some of your transactions but refuses to reverse the rest

You are seeking reimbursement of \$19,241.73.

The Bank's position

Please allow me to clarify that the transactions that were reversed into your account were done so directly by the Merchant and that Bank was not directly involved in this occurring. When a customer lodges a dispute, it is input into a system with Mastercard that triggers a notification to the Merchant that a transaction dispute has been raised. Prior to the Bank raising a chargeback for the disputed transactions, sometimes the Merchant may proactively take steps to reimburse the customer. That is what has occurred on this occasion.

As previously outlined to you in the Bank's letter on 28 September 2020, the Bank does not have a chargeback right to apply to the remaining transactions in dispute as you have not been able to supply the Bank with evidence to support your claim.

To date, the Bank has still not received supporting evidence, and is therefore still unable to issue a chargeback.

Additionally, the Bank would like to highlight that there are timeframes applicable to being able to raise a chargeback where a chargeback right exists. It is likely that some of your transactions in dispute may exceed this timeframe.

I refer you to the below extract from the Bendigo Business Accounts and Facilities Terms and Conditions booklet which states:

57.3 Mastercard have a dispute resolution process that is contained in the operating rules of the card scheme. This process sets out the specific circumstances and timeframes in which a member of the scheme (e.g. a bank) can claim a refund in connection with a disputed transaction on a cardholder's behalf.

This is referred to as a 'chargeback right'. We will claim a chargeback right where one exists and you have disputed the transaction within the required time frame. We will claim the chargeback for the most appropriate reason. Our ability to investigate any disputed transaction on your account, and subsequently process a chargeback, is restricted by the time limits imposed under the operating rules of the card scheme. The timeframes for us to process a chargeback (where a chargeback right exists) vary between 45 days and 120 days, depending on the type of transaction. We do not accept a refusal of a chargeback by a merchant's financial institution unless it is consistent with card scheme rules.

Conclusion

Given the reasons outlined above, reimbursement will not be forthcoming.

However, the Bank is still committed in assisting you, therefore the Bank asks that if you do have evidence to support your claim that you provide this as soon as possible.

Should you have any further queries, please contact me directly on 03 5485 7919 or alternatively on 1300 139 572.

Yours sincerely



Erin
Senior Case Manager – External Dispute Resolution
Bendigo & Adelaide Bank Ltd

cc Australian Financial Complaints Authority